

Question 4 · Unit 1 · 8 Marks

Discuss the importance of HRD in improving individual and organisational performance.

Answer

HRD improves performance by building competence, motivation, climate and alignment between people and goals.

- 1. Skill and knowledge enhancement:** Training, coaching and job experiences close performance gaps (standard minus actual) and raise job proficiency.
- 2. Role clarity through appraisal and feedback:** Developmental appraisal and counselling help employees know expectations and how to improve.
- 3. Motivation and morale:** Growth opportunities, recognition of potential and a supportive climate increase commitment and discretionary effort.
- 4. Better utilisation of potential:** Potential appraisal and career planning place people in roles where they can contribute more.
- 5. Teamwork and collaboration:** HRD culture strengthens dyads and teams, improving coordination and decision quality—key to organisational performance.
- 6. Adaptability and innovation:** An enabling culture encourages initiative, experimentation and learning, which organisations need in changing environments.
- 7. Reduced waste of human capital:** Without HRD, capability remains unused; with HRD, human resources (unlike other resources) can expand in value.
- 8. Strategic capability:** Integrated HRD supports quality, customer service, leadership pipelines and long-term competitiveness, not only short-term output.

***Conclusion.** Therefore HRD is important because individual competence and a developmental climate together raise organisational performance in a sustainable way.*